MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (Honours)/ MGU-BBA (Honours)/ MGU-BCA (Honours) REGULAR EXAMINATION October 2026
Fifth SEMESTER
Discipline Specific Elective (DSE) - MG5DSETTM303 - SETTING UP OF TOUR OPERATOR BUSINESS
(2024 ADMISSION ONWARDS)

Duration: 2 hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability**.**

Part A - Objective Type

Answer all questions Each question carries 1 marks

1. Name the person at the highest level of a tour operation organization. [K] / [CO1]

- Chief Executive Officer (CEO) / Managing Director (MD).

2. Providing accommodation in a package is related to…….. [U] / [CO2]

- The lodging / accommodation component of a tour package; commonly arranged through hotels, resorts or other accommodation providers.

3. Name one type of business ownership. [U] / [CO2]

- Sole proprietorship. Other acceptable answers: partnership, limited liability partnership (LLP), private limited company, public limited company or cooperative.

4. Expand DSC. [K] / [CO3]

- Digital Signature Certificate , electronic format of a physical signature used to digitally sign online incorporation forms, director KYC, and statutory filling in India

5. Identify the design approach that adapts websites to different screen sizes. [U] / [CO4]

- Responsive web design. (RWD)

PART B – SHORT ANSWER

Answer any five questions. Each question carries 2 marks.

6. Name any two types of Tour Operation Business. [K] / [CO1]

- Inbound tour operator – handles visitors travelling into a country.
- Outbound tour operator – organizes travel for residents travelling to other countries.
- Other acceptable types include domestic, receptive, specialist/niche and ground tour operators.

7. Define a Full-Service Travel Agency. **[K] / [CO1]**

- A full-service travel agency provides a wide range of travel-related services under one organization.
- Services may include booking air, rail and bus tickets; hotel reservations; tour packages; cruises; travel insurance; visa/passport assistance and travel advice.

8. Mention any two financial advantages of package tours. **[K] / [CO2]**

- Bulk purchasing and negotiated rates can reduce the per-person cost.
- The total package price helps customers plan and manage their travel budget.
- Bundled services may offer better value than arranging each component separately.
- Pre-arranged payments can make expenses more predictable.

9. What is meant by a target market? **[K] / [CO2]**

- A target market is the specific group of customers a business intends to serve and attract.
- It is identified through characteristics such as age, income, location, interests, travel purpose, lifestyle and spending capacity.

10. State one importance of adventure tourism. **[K] / [CO3]**

- It creates employment and income for local communities.
- It encourages tourism in natural and less-visited destinations.
- It promotes physical activity, confidence and personal development.
- It can support conservation when responsibly managed.

11. Mention one feature of certificate of incorporation. **[K] / [CO3]**

- It is the official legal document issued by the Registrar of Companies confirming that a company has been incorporated.
- It serves as evidence of the company's legal existence and incorporation date.
- A company becomes a separate legal entity upon incorporation.

12. Describe the relationship between branding and customer loyalty. **[U] / [CO4]**

- A consistent and distinctive brand helps customers recognize and remember a tour operator.
- A trusted brand creates expectations of quality, safety and reliable service.
- Positive experiences that match the brand promise encourage repeat purchases and recommendations.
- Thus, strong branding can build customer trust and long-term loyalty.

13. Identify any two sales objectives for a tour operator. **[K] / [CO4]**

- Increase sales revenue and profitability.
- Attract new customers and expand market share.
- Increase repeat bookings and customer retention.

- Sell more packages or additional services to existing customers.
- Achieve seasonal or annual sales targets.

PART C – SHORT ESSAY

Answer any five questions. Each question carries 5 marks.

14. Justify the importance of pricing and costing functions in tour operation business. [E]/[CO1]

- Costing identifies and calculates all expenses involved in a tour: transport, accommodation, meals, guide fees, entry fees, taxes, administration and other services.
- It helps determine the cost per person and the minimum viable selling price.
- Pricing converts the calculated cost into a customer-facing price by considering desired profit, competitor prices, demand and customer affordability.
- Accurate costing and pricing protect the operator from underpricing, unexpected losses and cash-flow problems.
- They support budgeting, quotations, package comparison, negotiation with suppliers and financial control.
- A fair and competitive price improves customer confidence, sales and business sustainability.

meaning/coverage of costing - pricing process - profitability and risk control - competitiveness/customer value - planning/business sustainability.

15. Define a tour operator and explain the major activities involved in tour operation. [K]/[CO1]

- A tour operator is a business that plans, organizes, combines and sells travel services, usually by creating package tours for individuals or groups.
- Researching destinations, customer needs and market demand.
- Designing itineraries and selecting attractions and activities.
- Negotiating with transport companies, hotels, guides and other suppliers.
- Costing the tour, fixing the selling price and preparing quotations.
- Booking and coordinating transport, accommodation, meals, transfers and sightseeing.
- Marketing, promoting, selling and distributing tour packages.
- Managing customer service, tour operations, safety, complaints and feedback.

16. Describe the major components of a good itinerary. [U] / [CO2]

- Tour title/theme, destination and duration.
- Travel dates, arrival/departure details and transport arrangements.
- Day-wise schedule with logical sequencing of places and activities.
- Accommodation details, meal plan and transfer arrangements.
- Sightseeing, attractions, experiences and sufficient time at each stop.
- Distance, travel time, route information and realistic timing.
- Price/inclusions, exclusions, optional activities and payment information.
- Contact details, meeting points, special instructions and emergency information.

17. Explain the concept and features of customized tour packages. [U] / [CO2]

- A customized tour package is designed or modified to suit the specific needs, interests, budget and schedule of an individual, family or group.
- Flexible itinerary, travel dates and duration.
- Choice of destinations, attractions and activities based on customer preferences.
- Personalized accommodation, transport, meal and service options.
- Price varies according to selected services, group size, season and travel standard.
- Greater customer involvement and consultation during planning.
- May cater to special interests such as adventure, culture, pilgrimage, wildlife, education or luxury travel.
- Requires detailed coordination with suppliers and clear communication of inclusions and conditions.

18. Assess the importance of application procedure for effective tour operations. [E] / [CO3]

- A systematic application procedure helps a tour operator obtain required registrations, licences, permits or approvals relevant to the business and its activities.
- It ensures that applications are submitted to the correct authority with prescribed forms and supporting documents.
- It helps establish legal compliance and reduces the risk of penalties, interruption or rejection.
- It clarifies eligibility, fees, timelines, renewals and operating conditions.
- Proper documentation improves accountability, transparency and professional credibility.
- It supports smooth coordination with government departments, suppliers and other stakeholders.
- The operator should maintain records and monitor renewals and changes in regulatory requirements.

19. Mention two importance of approvals. [K] / [CO3]

- Approvals help ensure that the business or tourism activity complies with applicable laws, regulations and safety requirements.
- They protect tourists, employees, local communities and the environment by requiring suitable standards.
- They improve credibility and public confidence in the operator.
- They may be necessary to access particular sites, facilities, services or official partnerships.
- They reduce the risk of legal action, fines, closure or operational disruption.

20. Discuss the role of Place in distributing tourism products. [U] / [CO4]

- Place refers to the distribution channels and locations through which tourism products are made available to customers.
- Direct channels include the operator's office, website, telephone, email and direct sales representatives.

- Indirect channels include travel agents, online travel agencies, destination management companies, wholesalers and other intermediaries.
- Intermediaries extend market reach and provide local knowledge, customer access and booking support.
- Online platforms make products accessible across geographical boundaries and at different times.
- The choice of channel affects reach, convenience, distribution cost, control over customer relationships and profit margins.
- An effective distribution strategy makes the right product available to the right customer at the right time.

21. Compare penetration pricing and price-skimming strategies. [An] / [CO4]

- Penetration pricing introduces a product at a relatively low initial price to attract customers quickly and gain market share.
- It is useful in competitive markets, price-sensitive segments or when the operator wants to build volume and awareness.
- Price skimming introduces a product at a relatively high initial price, targeting customers willing to pay more, and may reduce the price later.
- It may be suitable for unique, premium or highly differentiated packages with strong initial demand.
- Penetration pricing aims for faster market adoption and higher sales volume; price skimming aims to earn a higher margin from early buyers.
- Penetration pricing may produce lower margins initially; skimming may limit the initial customer base and attract competitors if high prices persist.

PART D – LONG ESSAY

Answer any two questions. Each question carries 15 marks.

22. Compare Tour Operators and Travel Agencies with reference to product creation, pricing, promotion, distribution, risk and revenue generation. [U] / [CO1]

Introduction / meaning

- A tour operator combines different travel services to create and sell a tour package. A travel agency primarily acts as an intermediary that advises customers and arranges or sells travel services supplied by other providers; some agencies also design packages.

Product creation

- Tour operator: researches destinations and customer needs, selects suppliers and combines transport, accommodation, meals, sightseeing and activities into a package.
- Travel agency: usually selects and sells products of airlines, hotels, tour operators and other suppliers; may prepare tailor-made arrangements for clients.

Pricing

- Tour operator: calculates total package cost, negotiates supplier rates and fixes a package selling price with a profit margin.

- Travel agency: commonly sells at supplier/market prices and earns commission or a service fee; may quote a combined price for customized arrangements.

Promotion

- Tour operator: promotes its own packages, destinations, themes and brand through advertising, digital marketing, brochures, trade fairs and agent networks.
- Travel agency: promotes its range of travel services, offers, expertise and booking support through local and online channels.

Distribution

- Tour operator: sells directly to customers through offices/websites and indirectly through travel agents, wholesalers and online platforms.
- Travel agency: distributes products through its office, website, phone, social media and other customer-facing channels, often using supplier reservation systems.

Risk

- Tour operator: may carry greater financial and operational risk because it may reserve capacity or commit to supplier payments before all package places are sold; it is also responsible for coordinating the package.
- Travel agency: generally carries less inventory/capacity risk when acting only as an agent, but remains exposed to service, reputational, booking and customer-handling risks.

Revenue generation

- Tour operator: earns through the margin between package selling price and total costs, as well as fees or commissions on related services.
- Travel agency: commonly earns commissions, service/convenience fees, mark-ups where permitted and revenue from ancillary services.

Conclusion

- Tour operators are primarily package creators and organizers, whereas travel agencies mainly facilitate and distribute travel products. Their roles may overlap in modern tourism businesses.

23. Explain cost control in tour operations. [U] / [CO2]

- **Meaning:-** Cost control is the process of planning, monitoring and regulating expenditure so that a tour is delivered within the approved budget without compromising agreed quality and safety.
- **Prepare a cost plan:-** estimate transport, accommodation, meals, guide charges, entry fees, permits, insurance, staff, marketing, administration, taxes and contingency expenses.
- **Obtain competitive supplier quotations:-** compare rates, service quality, terms and cancellation policies; negotiate group rates and written contracts.
- **Accurate costing and budgeting:-** calculate fixed and variable costs, cost per person and break-even group size; include realistic contingency provisions.
- **Control bookings and capacity:-** match reservations to confirmed demand, avoid unnecessary commitments and monitor room/seat utilization.
- **Monitor actual expenditure:-** maintain bills, vouchers and booking records; compare actual costs with the budget at each stage.
- **Manage transport and itinerary efficiently:-** plan routes, reduce unnecessary transfers and waiting time, and avoid unrealistic schedules that create extra costs.

- **Control wastage and leakages:-** prevent duplicate bookings, unauthorized spending, avoidable overtime, food wastage and unapproved upgrades.
- **Use technology and records:-** use accounting, reservation and tour-management tools to track payments, supplier balances and cost variances.
- **Review and corrective action:-** investigate differences between estimated and actual costs; renegotiate, revise processes or adjust future package prices.
- **Maintain service quality and safety:-** cost reduction should not compromise safety, legal compliance, insurance, promised inclusions or customer satisfaction.
- **Conclusion:-** effective cost control improves profitability, cash flow, price competitiveness and long-term business sustainability.

24. Evaluate the importance of professional standards for a tour operator. [E] / [CO3]

- Meaning: -Professional standards are the accepted ethical, service, operational, legal and safety practices expected of a competent tour operator.
- **Customer confidence:** accurate information, transparent pricing and reliable service build trust and encourage repeat business.
- **Safety and risk management:** proper risk assessment, trained staff, emergency procedures, suitable equipment and clear safety briefings help protect travellers.
- **Legal and regulatory compliance:** adherence to applicable laws, permits, consumer protection requirements, contracts and insurance obligations reduces legal and operational risks.
- **Service quality:** standard procedures for reservations, itinerary delivery, accommodation, transport, guiding and complaint handling create consistent experiences.
- **Ethical conduct:** honesty in advertising, disclosure of inclusions/exclusions, fair treatment, privacy protection and responsible handling of customer money strengthen credibility.
- **Staff competence:** training, communication skills, destination knowledge and professional behaviour improve efficiency and customer care.
- **Supplier and stakeholder relations:** fair contracts and clear coordination with hotels, transport providers, guides, communities and authorities improve reliability.
- **Responsible and sustainable tourism:** respect for local culture, environment, host communities and carrying capacity supports destination sustainability.
- **Brand image and competitiveness:** recognized standards differentiate the operator, support partnerships and improve reputation in domestic and international markets.
- **Business performance:** fewer errors, complaints, accidents and disputes can reduce costs and protect revenue.
- **Evaluation / limitations:** standards require investment in training, systems, audits and compliance. However, these costs are justified by reduced risk, better service and long-term trust.
- **Conclusion:** professional standards are essential for safe, ethical, reliable and sustainable tour operations.

25. Evaluate the effectiveness of online marketing channels compared with traditional distribution channels [E] / [CO4]

- **Introduction:** Online marketing channels include websites, search engines, social media, email, online travel agencies, content platforms and digital advertisements. Traditional channels include travel offices, brochures, print media, telephone sales, travel fairs and agent networks.
- **Reach and accessibility:** online channels can reach geographically dispersed customers continuously; traditional channels may have stronger local reach and personal presence.
- **Cost and scalability:** digital campaigns can be started at different budgets, targeted and scaled; print, office and event-based promotion may involve production, distribution and staffing costs.
- **Targeting and measurement:** online tools allow audience segmentation and tracking of clicks, enquiries and conversions; traditional channels may rely more on circulation estimates, enquiries and sales records.
- **Customer interaction:** social media, chat and email enable quick interaction and feedback; face-to-face or telephone contact through traditional channels can provide personal reassurance and detailed consultation.
- **Trust and product explanation**: reviews, videos, photographs and detailed websites help customers assess packages; experienced agents can explain complex itineraries and build personal relationships.
- **Booking and distribution:** online booking and payment can simplify transactions and serve customers outside office hours; physical agencies can assist customers who prefer human support or need complex arrangements.
- **Limitations of online channels:** high competition, platform commissions, changing algorithms, cyber-security/privacy concerns, negative online reviews and dependence on internet access.
- **Limitations of traditional channels:** restricted geographical reach, limited operating hours, slower communication and recurring printing or office costs.
- **Suitability for tourism:** visual and experience-based products can benefit from videos, social media and customer reviews, while specialized, high-value or complex tours may still benefit from personal consultation.
- **Integrated approach:** combine a clear website and social media presence with direct consultation, agent partnerships, brochures where useful and responsive customer service.
- **Evaluation / conclusion:** online channels are often more measurable, scalable and accessible, but they do not fully replace traditional channels. The most effective mix depends on the target market, product complexity, budget and customer preferences.